

Paper presentation

Political Economy

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The paper

Yes, Standing Committee Majority Rule in Non-Democracies

—
WP by *Haokun Sun* and *Yong Cai*

- How does the inner decision-making process of the CCP work?

Context

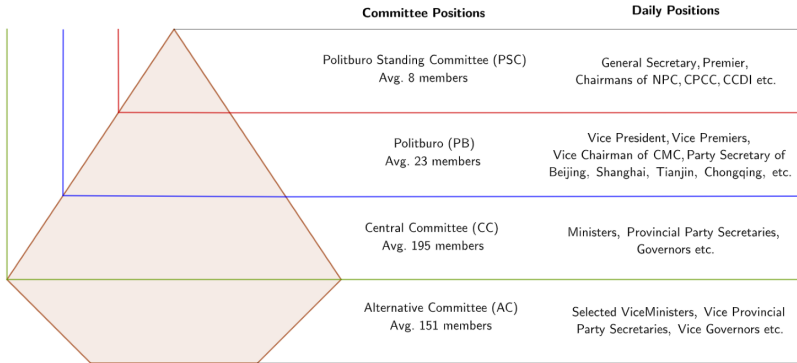


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Question

Does collective leadership actually hold?

- *Factions in non-democracies* (Francois et al., 2023)
- Obscurity of CCP meetings: how do you test it?

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In this paper: focus on AC/CC promotions.

- Network construction
- Idea: social connections $\rightsquigarrow$ promotions

Network construction

- CCP bibliographical data (12-19th NCs)
- Estimate career rankings (R_i) via ML (Jia and Xu (2019))
 - ▶ 1,598 members; 4,183 positions; 4 bureaucratic domains
 - ▶ Final ordering: $0 \prec \dots \prec 16$
- Links (G_{ij}): same
 - ▶ College within 5 years of each other
 - ▶ Home province
 - ▶ Province/ministry workplace a year prior to promotion
- Vertical vs horizontal social connections

First results

Estimate career outcomes on social connections: $\mathbf{R} \sim f(\mathbf{G})$

- Vertical connections good
- Horizontal connections bad/mid

⇒ Motivates a coalitional game where

- ▶ Key players: incumbent PSC members
- ▶ Pay-off: successful assignments/promotions

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Model overview [▶ full](#)

- Tier I and II players (incumbent PSC, AC/CC)
 - ▶ N' and N'' partition the set N of politicians in Congress
- Two-stage game:
 - 1st Tier I players choose Tier II players' positional assignments
 - 2nd Both tiers choose effort
- Key elements
 - ▶ Collective leadership: $|\text{coalition}| \geq m$ (majority rule)
 - ▶ In equilibrium,

$$\mathbf{R}_t = \phi_v G_t^V \mathbf{R}_t + \phi_h G_t^H \mathbf{R}_t + \mathbf{X}_t \beta + \epsilon_t$$

Results (structural) [▶ tables](#)

Pooling across all presidencies,

- There are connection benefits across the board (+70%)
- As beneficial for PSC incumbents as they are for candidates
- Vertical connections 3x more beneficial than horizontal ones
- $m = 75\%$

Results (structural) [▶▶ tables](#)

If we distinguish presidencies,

- Vertical connections still positive
- Horizontal ones become unstable
 - ▶ Deng, Jiang: not significant or negative
 - ▶ Gap with vertical connections widens under Hu and Xi
- m also varies:

	Deng	Jiang	Hu	Xi
m	50%	80%	80%	67%

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Estimation and results

Factions are endogenized from the constructed network

- Estimated via modularity clustering

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Penalties against faction-formation across the board.

- Only faction connections: negative, but not significant.
- Controlling for V/H connections: becomes significant.
 - ▶ Daily promotions:
 - VC: +16.4%
 - Same faction: -8.7%
 - ▶ Still negative for for Politburo promotions, but less significant.

Takeaways

- CCP meetings perfectly obscure
 - ▶ Idea: create network to recover social connections
- Vertical connections increase chances of promotion
- Horizontal connections can be a bad investment
- Factions are penalized *de jure* **and** *de facto*

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Interlude: prestige

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Career outcomes R_i are assumed to be Cobb-Douglas:

$$R_i = \varphi S_i^\alpha E_i^{1-\alpha} + \xi_i$$

Where

- Social connections S_i
 - ▶ average of peers' own R_j 's weighted by links
- Individual characteristics $\xi_i = \beta' \mathbf{X}_i + D_i \mathbb{1}\{i \in N^{\text{II}}\}$

2nd stage: effort choice

All i simultaneously choose

$$E_i^* = \arg \max_{E_i \geq 0} R_i(S_i, E_i, \xi_i) - cE_i$$

Taking S_i and ξ_i as given.

1st stage: political assignments

Tier I players choose

$$D_i^* = \arg \max_{D_i} \sum_{\substack{\tilde{N} \subseteq N' \\ |\tilde{N}| \geq m}} \left[\frac{|\tilde{N}|! (|N'| - |\tilde{N}|)!}{|N'|!} (T(\tilde{N} \cup i) - T(\tilde{N})) \right] - \frac{D_i^2}{2}$$

Key points:

- Expected net utility of appointing i
 - ▶ $T(\tilde{N} \cup i) - T(\tilde{N}) = \sum_{j \in \tilde{N}} R_j(\tilde{N} \cup i) - R_j(\tilde{N})$
 - ▶ Quadratic cost of appointment
- The size of each coalition needs to be at least m

Structural estimation results: presidency-pooled [▶ back](#)

Table 5: Katz-Bonacich Centrality on Daily Position Assignments

	Daily Position Assignment R_i						
	OLS (Assumption: $E[(\sum G_{ij} R_j) \epsilon_i] = 0)$					NLLSE	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
ϕ	0.745*** (0.056)	0.691*** (0.0720)				0.754*** (0.052)	
ϕ_v			1.084*** (0.074)	1.126*** (0.092)			1.032*** (0.100)
ϕ_h			0.472*** (0.068)	0.339*** (0.085)			0.354*** (0.160)
ϕ_v^{II}					0.746*** (0.108)		
$\phi_v^{\text{I}} - \phi_v^{\text{II}}$					0.534 (0.717)		
ϕ_h^{II}					0.551*** (0.091)		
$\phi_h^{\text{I}} - \phi_h^{\text{II}}$					0.665 (0.861)		
<i>IndividualCon.</i>	Yes	Yes	Yes	Yes	Yes	Yes	Yes
<i>TermFE</i>		Yes		Yes	Yes	Yes	Yes
<i>HometownFE</i>		Yes		Yes	Yes		
<i>CollegeFE</i>		Yes		Yes	Yes		

Structural estimation results: presidency-unpooled

» back

Table 6: Katz-Bonacich Centrality on Daily Position Assignments for Each Presidency (NLLS)

	Job Assignment R_{it}				
	All (1)	Deng (2)	Jiang (3)	Hu (4)	Xi (5)
ϕ_v	1.032*** (0.100)	0.604*** (0.195)	1.320*** (0.236)	1.160*** (0.173)	1.652*** (0.441)
ϕ_h	0.354** (0.160)	-0.212* (0.518)	-0.626 (0.531)	0.468** (0.234)	0.495*** (0.564)
<i>IndividualCon.</i>	Yes	Yes	Yes	Yes	Yes
<i>TermFE</i>	Yes	Yes	Yes	Yes	